



Asia Automation

Upcycle longer than expected

- ◆ No signs of slowing down; April to June orders and sales confirmed sustained upcycle supported by AI capex
- ◆ AI server connectors, casing, chip production drive demand for CNC/machine tool/pneumatic/linear motion/vision
- ◆ Prefer Hiwin on monthly sales/margin upside; Fanuc on over-correction; Inovance on industrial AI and Zhaowei on hands

When did this upcycle begin: The current upcycle began in 3Q25 (see: [Optimistic on 2026 demand](#), 1 Oct 2025) and has run for roughly a year already. Our research indicates that investors are concerned that it may have peaked in 2Q26. However, we have not seen signs of slowing down. We think AI server and semiconductor end-markets are sustaining, despite risks from rising costs and delayed shipments.

Strong order visibility sustained until end-2026, driven by AI server and semi: Fanuc/SMC/THK's April to June orders sped up from the previous quarter to 37/56/70% y-o-y. Keyence/Airtac/Hiwin's revenue in the same period grew 33/36/27% y-o-y. Many industry players raised their revenue guidance significantly, and now expect 7-29% revenue growth in 2026 (up from 3% to mid-teens percentages previously, exhibit 1). We believe AI capex should drive a sustained demand upcycle into 2H26. In addition, auto, which was traditionally the largest downstream sector for automation players, has stabilised, with China NEV demand remaining solid, offset by weakness in Europe.

What could make us more pessimistic: We think risks to a continued upcycle include rising raw material costs causing stronger margin pressure or JPY appreciation causing slower revenue growth and margin pressure. In addition, Japan automation players are facing some raw material bottlenecks in chips and rare earth materials, causing shipment bottlenecks. We believe these impacts are currently limited, but if they worsen, could make us more pessimistic.

How to position from here? Automation stock performance has diverged (see pp.1). Between Airtac (1590 TW, Buy) and Hiwin (2049 TW, Buy), we prefer Hiwin given more catalysts for monthly sales and margin upside. In Japan, the share price of Fanuc (6954 JP, Buy) was down 8% over the past 3 months, but Keyence (6861 JP, Buy) was up 46% (vs TOPIX up 6% over same period). We prefer Fanuc, as we think concerns around margin pressure are overdone, and a re-rating could start if there is sustained growth in July to September earnings. We also like Inovance (300124 CH, Buy) as it is well positioned to benefit from industrial AI, and Zhaowei -H (2692 HK, Buy) for its dexterous hand exposure.

This is our latest report on the Automation theme. If you want to subscribe to any of our nine big themes, [click here](#).

Company	Ticker	Currency	Current price	TP	Rating	Up/downside	Market cap (USDbn)	3m ADTV (USDm)
Airtac	1590 TT	TWD	1,545	1,730	Buy	+12%	9.4	40.7
Hiwin	2049 TT	TWD	387	457	Buy	+18%	4.2	59.4
Fanuc	6954 JP	JPY	6,535	7,600	Buy	+16%	40.5	317.6
Keyence	6861 JP	JPY	85,110	91,000	Buy	+7%	131.0	341.7
Inovance	300124 CH	RMB	64.60	96.00	Buy	+49%	25.9	434.7
Zhaowei A/H	003021 CH/ 2692 HK	RMB/HKD	81.15/47.42	90.00/105	Hold/Buy	+11%/+121%	3.1	81.1/9.3

Source: Bloomberg, HSBC estimates. Priced as of close at 7 Aug 2026

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HSBC Funding the Future Survey

AI megadeals and the rest

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Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

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Focus charts

Key indicators and share price performances

Indicator	Month	Level	Indicator	Month	YoY/MoM	Indicator	Month	YoY/MoM
Mainland China Caixin mfg. PMI MoM	Jul-26	50.9(-0.8)	Japan machine tools domestic order	Jun-26	62/40%	Japan ball screw shipment	Jun-26	24/18%
Japan manufacturing PMI MoM	Jul-26	54.5(-0.3)	Japan top 4 CNC order value	Jun-26	56/4%	Japan linear guide shipment	Jun-26	31/17%
Taiwan manufacturing PMI MoM	Jul-26	55.1(-0.1)	China machine tools from Japan	Jun-26	76/10%	Japan ball screw ASP	Jun-26	16/1%
Japan machine tools export order YoY	Jun-26	56%	China industrial robot production	Jun-26	48/9%	Japan linear guide ASP	Jun-26	-5/-2%
Stock YTD/3M								
Airtac 66/4%	Fanuc 7/-8%	Cognex 86/1%	LK Tech -54/-46%	THK 80/15%	Yaskawa 11/-12%	Inovance -14/-15%	Lead -32/-46%	TTI 63/16%
Hiwin 99/22%	Keyence 50/46%	Haitian -9/-7%	Koh Young 29/-26%	SMC 36/-6%	Nidec 27/5%	Estun 48/50%	Yinghe -28/-31%	Chervon 6/18%

Priced as of 7 Aug 2026. Source: JMTBA, JCO, JMAA, CEIC, Bloomberg, HSBC

Exhibit 1: Key automation companies' results and growth drivers

Calendar year	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Revenue yoy										
Airtac (1590 TW)	4.3%	5.3%	-2.4%	3.9%	12.4%	6.2%	11.7%	18.2%	23.7%	35.9%
SMC (6273 JP)	-1.5%	1.9%	-1.2%	3.3%	3.8%	-1.3%	4.1%	7.3%	15.4%	35.4%
Hiwin (2049 TW)	-4.0%	-6.1%	-3.5%	10.7%	6.0%	-4.2%	-5.2%	2.0%	9.3%	26.7%
THK (6481 JP)	-9.0%	2.9%	3.3%	4.5%	-0.2%	-3.6%	7.9%	6.6%	27.4%	36.8%
Fanuc (6954 JP)	-7.9%	-3.3%	-2.1%	-0.4%	6.7%	0.6%	9.5%	9.5%	10.6%	17.7%
Yaskawa (6506 JP)	1.9%	-7.1%	-11.8%	-2.4%	-4.8%	-5.1%	4.2%	2.2%	2.0%	10.6%
Keyence (6861 JP)	7.6%	11.2%	10.1%	7.7%	9.2%	5.6%	5.9%	11.4%	17.9%	32.8%
Koh Young (098460 KQ)	-16.7%	-1.0%	-7.7%	-13.8%	-3.6%	-0.7%	30.2%	36.3%	42.3%	70.4%

GPM

Airtac (1590 TW)	47.1%	47.3%	46.3%	45.9%	44.1%	46.0%	46.0%	47.5%	48.0%	49.8%
SMC (6273 JP)	42.7%	47.7%	46.2%	44.3%	45.1%	44.3%	46.2%	45.5%	45.1%	46.8%
Hiwin (2049 TW)	28.9%	31.5%	30.7%	27.2%	29.8%	29.7%	28.6%	27.0%	31.9%	
THK (6481 JP)	21.3%	22.9%	24.2%	24.3%	21.8%	22.9%	22.4%	29.3%	33.1%	35.4%
Fanuc (6954 JP)	34.6%	34.7%	39.7%	34.7%	38.7%	39.0%	37.4%	36.4%	40.2%	39.4%
Yaskawa (6506 JP)	37.2%	35.2%	36.1%	34.7%	36.4%	35.5%	35.8%	34.1%	35.6%	34.4%
Keyence (6861 JP)	83.7%	83.9%	84.2%	83.7%	83.5%	82.6%	82.8%	83.1%	83.5%	85.0%
Koh Young (098460 KQ)	63.4%	62.6%	64.6%	58.1%	69.8%	61.1%	62.2%	63.0%	66.8%	

Company comments after 2Q26 earnings

Airtac (1590 TW)	Smartphone 2H26 weak on seasonality. Electronic and auto to keep same pace (both 20% yoy 2Q26). Battery demand may increase (56% y-o-y 2Q26). 2026 revenue management guides: over +20% (previously: mid-to-high teens)
SMC (6273 JP)	Demand from AI/Semi/Data centre is strong in China, Japan, and US. EV in China is solid, but sluggish in other regions. 2026 revenue management guides: yoy +19% (previously +3%)
Hiwin (2049 TW)	Demand in China driven by AI server casings and liquid cooling connectors.
THK (6481 JP)	Orders remained strong mainly in semiconductor-related products. China is strong overall, US/JP recovery driven by electronics-related products. 2026 revenue management guides: yoy +29% (previously +8%)
Fanuc (6954 JP)	Demand remains strong from AI servers, semiconductors, NEV, and 3C industries. Demand is strong in China and Asia. FY03/26 revenue management guides: yoy +11% (previously: +6%)
Yaskawa (6506 JP)	Demand from Semi/Data center is strong in China, Japan, US. EV in China is solid, but sluggish in other regions. Europe see recovery in general. FY03/26 revenue management guides: yoy +7.0% (unchanged)
Keyence (6861 JP)	China strength to continue, driven by AI server, semi and electronics. Japan and Europe stabilising, supported by semi and electronics and auto bottoming out. US overall resilient.
Koh Young (098460 KQ)	Server and IoT outperformance continue. Auto bottoms out. 2026 revenue management guides: over +30% (previously: 20%)

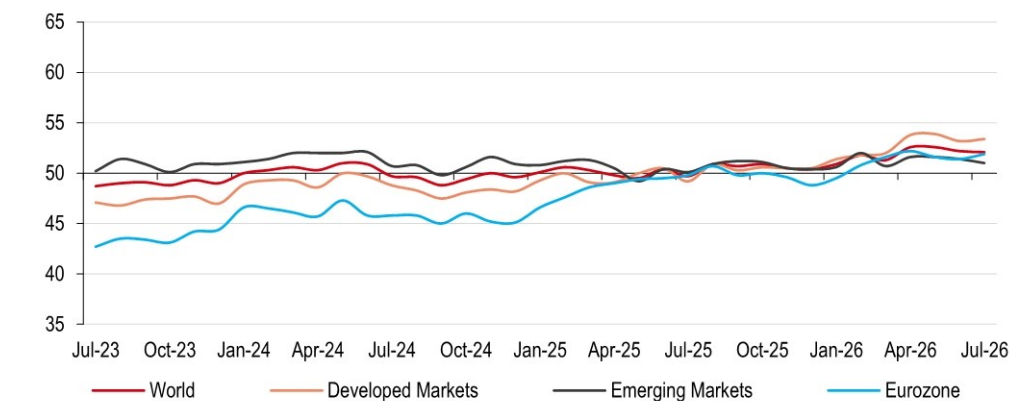
*Due to sales of automotive & transportation business subsidiary
 Source: Company data, HSBC

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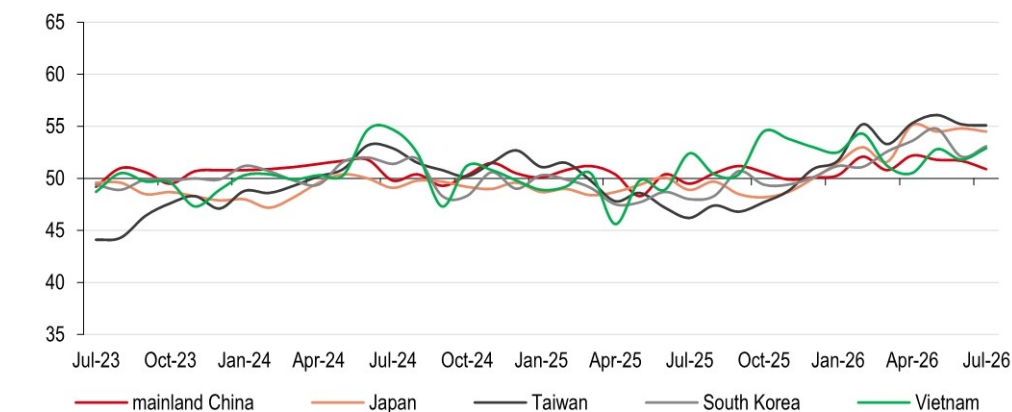
Global manufacturing PMI

Exhibit 2: Global manufacturing PMIs, by geography



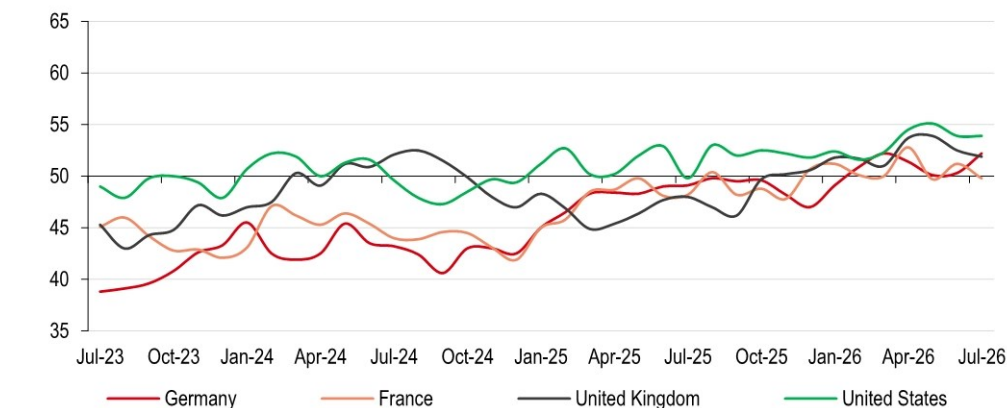
Source: IHS Markit, HSBC calculations

Exhibit 3: Asian manufacturing PMIs, by market



Source: IHS Markit, HSBC calculations

Exhibit 4: European and American manufacturing PMIs, by market

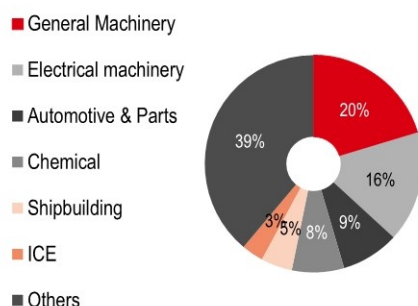


Source: IHS Markit, HSBC calculations

Japan machinery order indicators

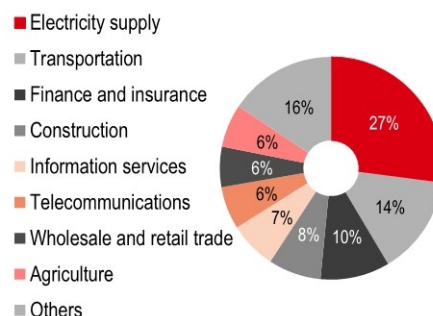
The Japan Cabinet Office publishes monthly statistics for general machinery orders by collecting data from 280 manufacturers with over 80% coverage of all downstream sectors. According to the office, its statistics cover machinery orders in engines and turbines, heavy electrical machinery, electronic & communication equipment, industrial machinery, machine tools, railway rolling stock, road vehicles, aircraft, ships and watercraft. The downstream sectors are further categorised into manufacturing and non-manufacturing activities, including automotive and information & communication electronics (ICE).

Exhibit 5: Japan's machinery orders in manufacturing industries, 2024



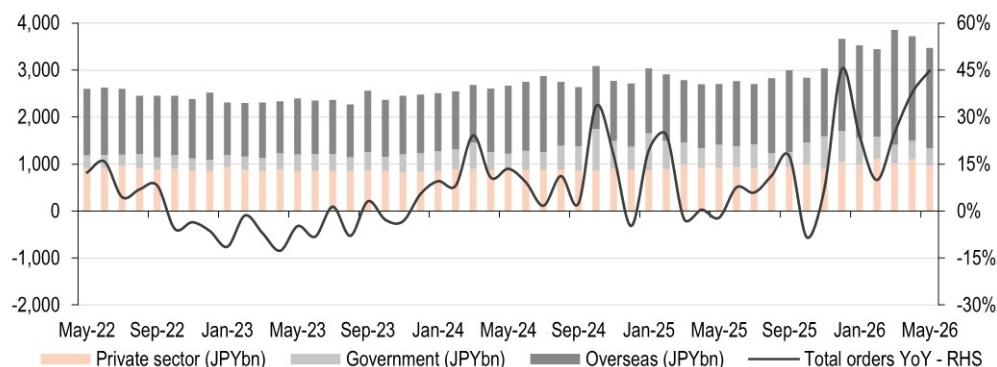
Source: Japan Cabinet Office, HSBC calculations

Exhibit 6: Japan's machinery orders in non-manufacturing industries, 2025



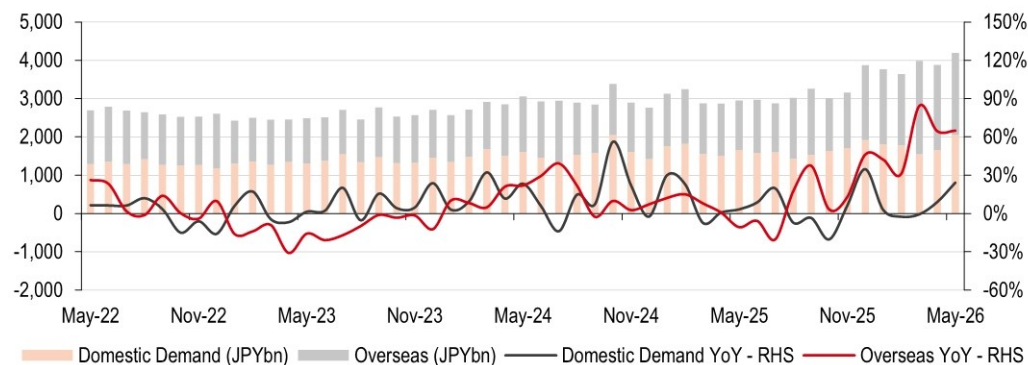
Source: Japan Cabinet Office, HSBC calculations

Exhibit 7: Japan's total machinery orders, monthly



Source: Japan Cabinet Office, HSBC calculations

Exhibit 8: Japan's domestic and overseas machinery orders, monthly



Source: Japan Cabinet Office, HSBC calculations

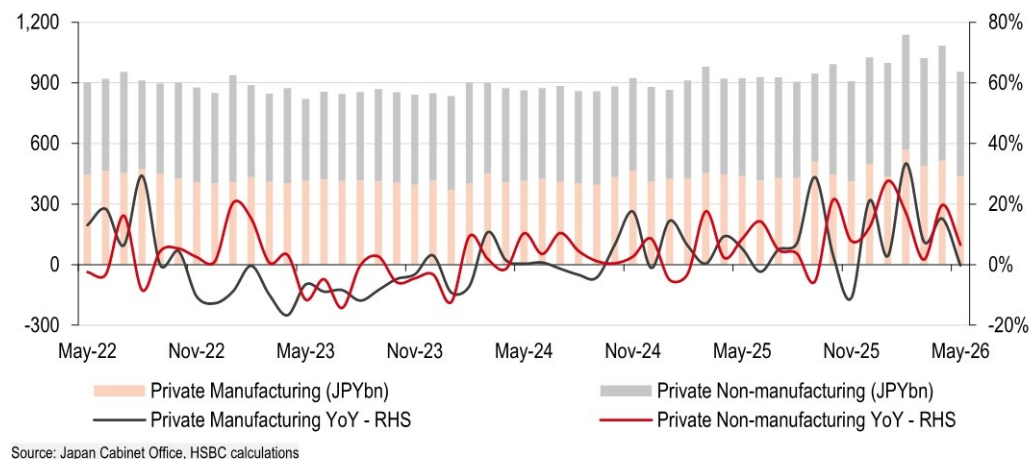
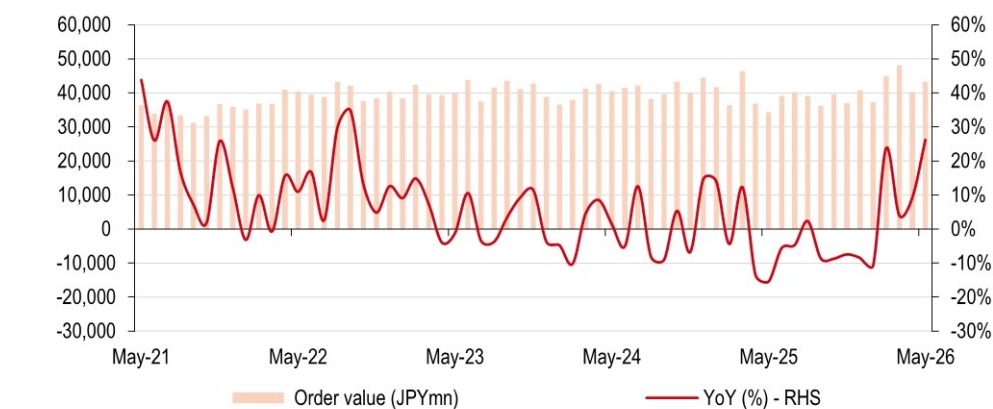
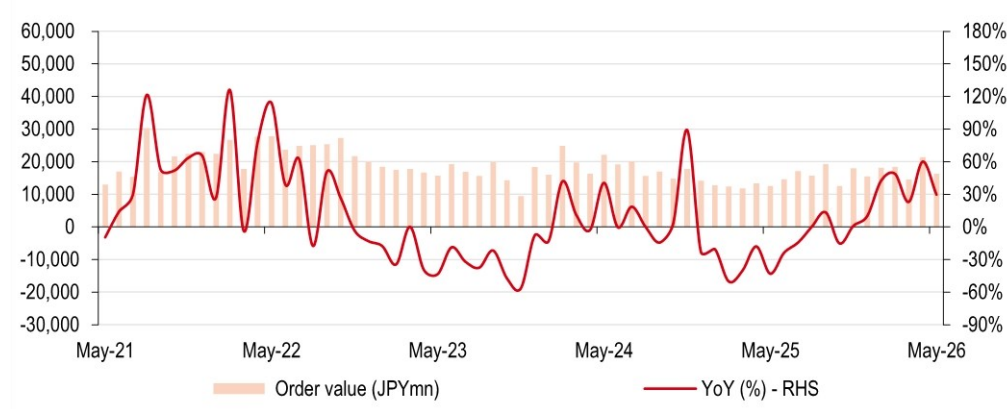
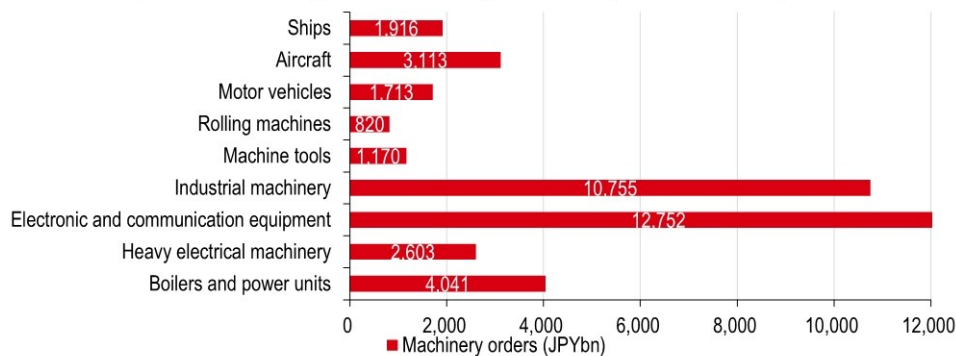
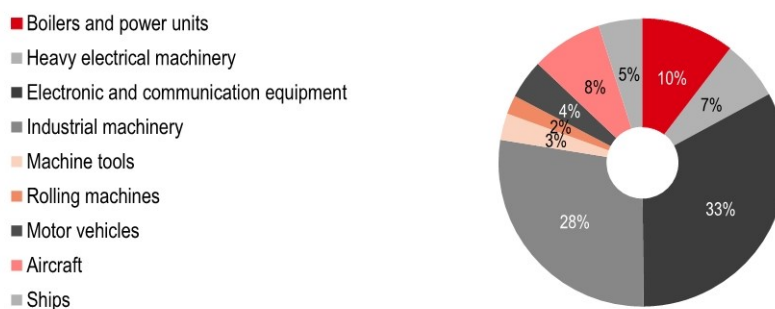
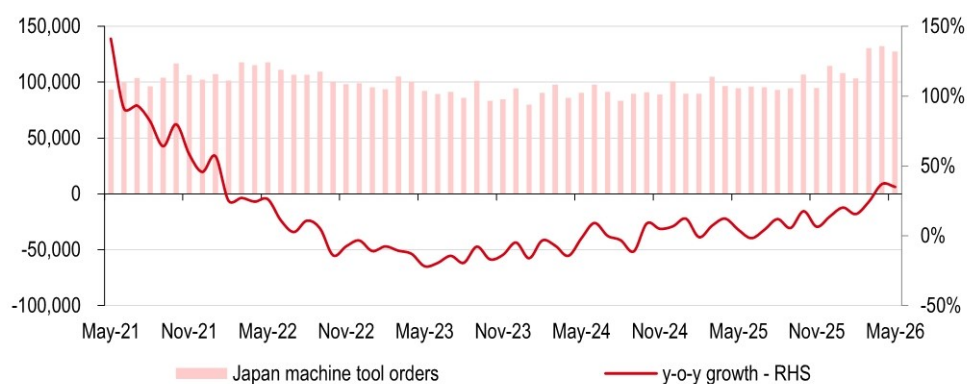
Exhibit 9: Japan's machinery orders from the private sector, monthly

Exhibit 10: Japan's machinery orders from autos & parts, monthly

Exhibit 11: Japan's machinery orders from information & communication electronics*, monthly


Exhibit 12: Japan's machinery order value by machinery classification, 2025


Source: Japan Cabinet Office, HSBC calculations

Exhibit 13: Japan's machinery order share, by machinery classification, 2025


Source: Japan Cabinet Office, HSBC calculations

Exhibit 14: Japan's domestic machine tool orders, monthly


Source: Japan Cabinet Office, HSBC calculations

Japan machine tool indicators

The Japan Machine Tool Builders' Association (JMTBA) publishes monthly machine tool order statistics. Machine tools are a subset of general machinery in the machinery industry as classified by the Japan Cabinet Office, which include boilers, motors, earthmoving/construction equipment, office equipment, refrigerating equipment, and semiconductor fabricating equipment.

In terms of machine tool downstream applications, in 2018, c39% of applications were in the general machinery category, 33% in automobiles, 10% in electrical and precision and the remaining 18% in other categories.

These orders usually lead production by 6-12 months, while the export figures move hand in hand with production.

Exhibit 15: Japan's machine tool orders lead production by 6-12 months

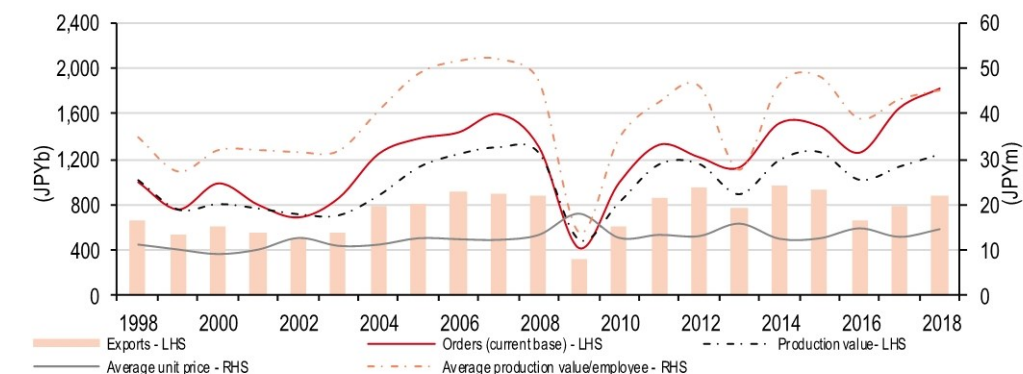


Exhibit 16: Japan's export and domestic machine tool orders

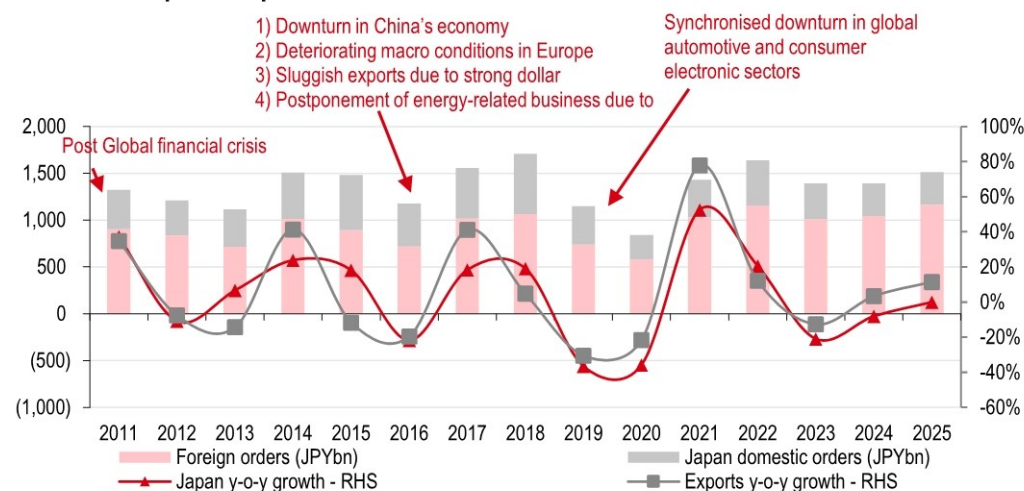
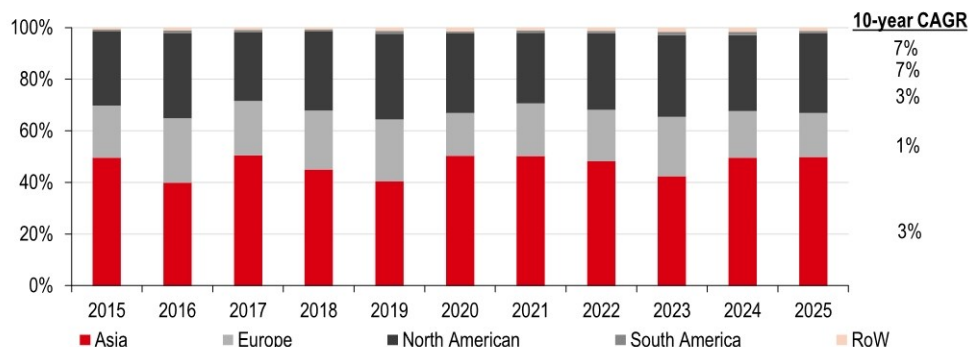
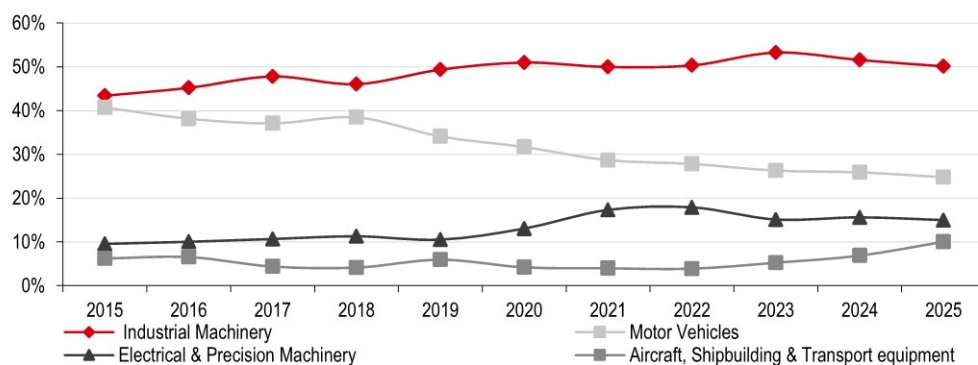


Exhibit 17: Japan's machine tool exports, by region



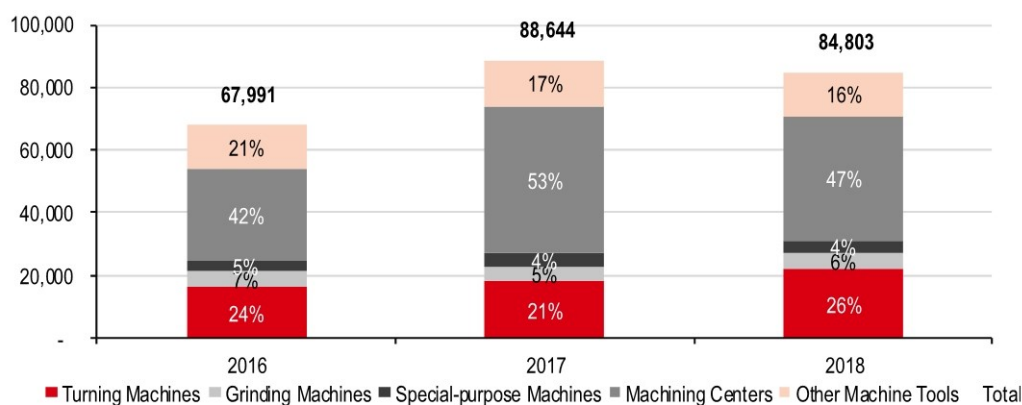
Source: Japan Machine Tool Builders' Association (JMTBA), HSBC calculations

Exhibit 18: Japan's machine tool downstream applications as % of total orders



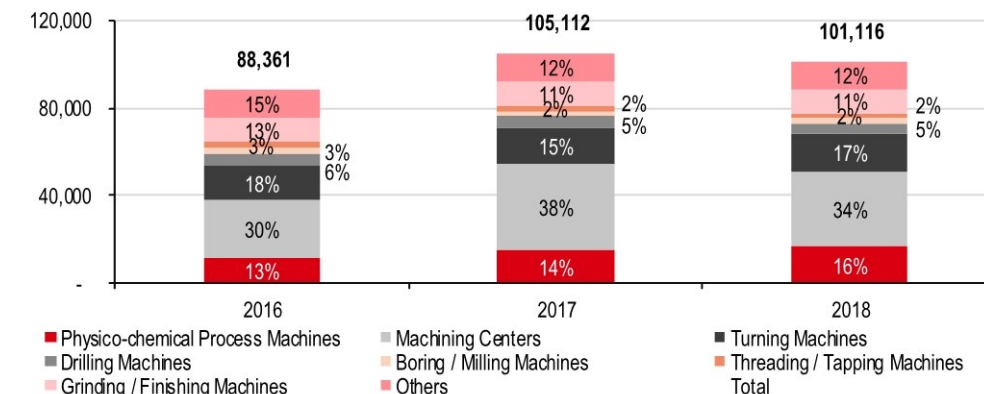
Source: Japan Machine Tool Builders' Association (JMTBA), HSBC calculations

Exhibit 19: Japan's machine tool production volume, by machine type



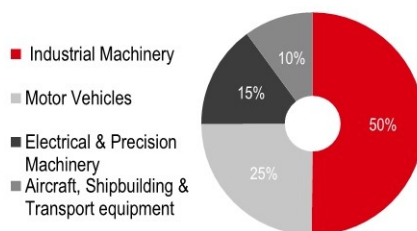
Source: Japan Machine Tool Builders' Association (JMTBA), HSBC calculations

Exhibit 20: Japan's machine tool export volume, by machine type



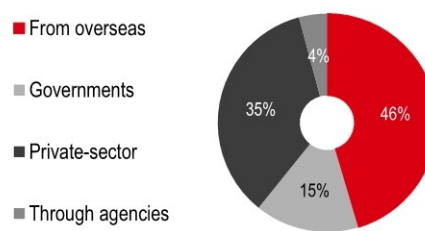
Source: Japan Machine Tool Builders' Association (JMTBA), HSBC calculations

Exhibit 21: Japan's machine tool order downstream composition, 2025



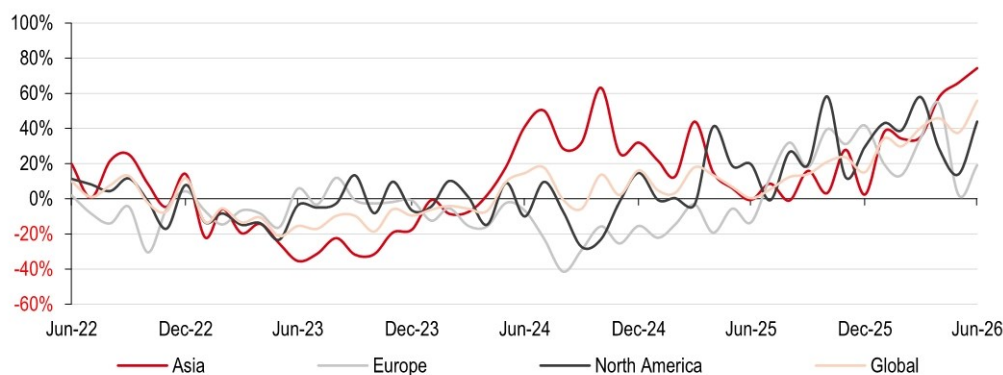
Source: Japan Machine Tool Builders' Association (JMTBA), HSBC calculations

Exhibit 22: Japan machinery orders, by sector, 2025



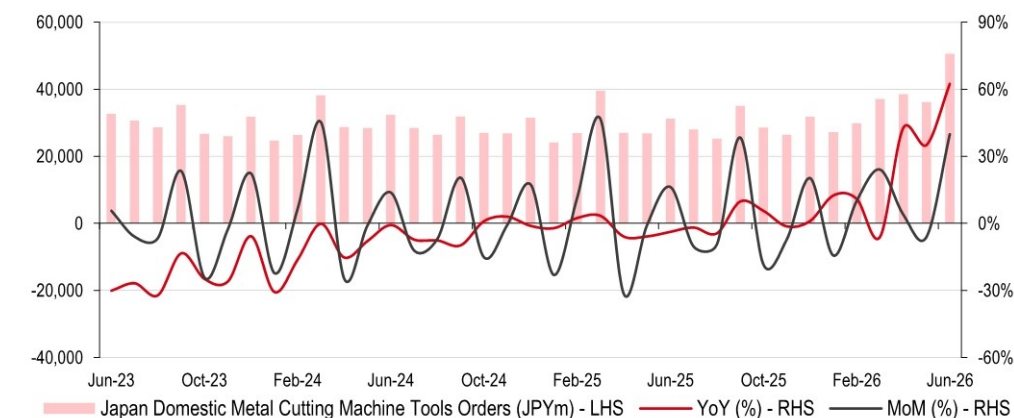
Source: Japan Cabinet Office, HSBC calculations

Exhibit 23: Japan's machine tool orders y-o-y growth, by geography, monthly (%)



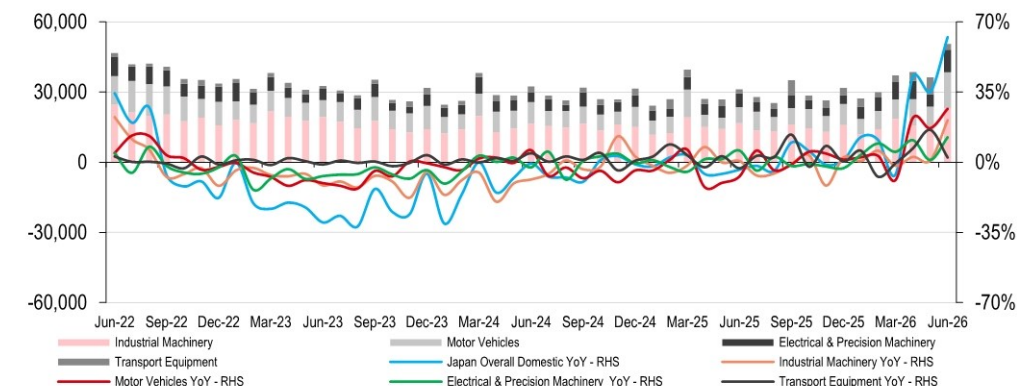
Source: Japan Machine Tool Builders' Association (JMTBA), HSBC calculations

Exhibit 24: Japan's domestic machine tool orders, monthly



Source: Japan Machine Tool Builders' Association (JMTBA), HSBC calculations

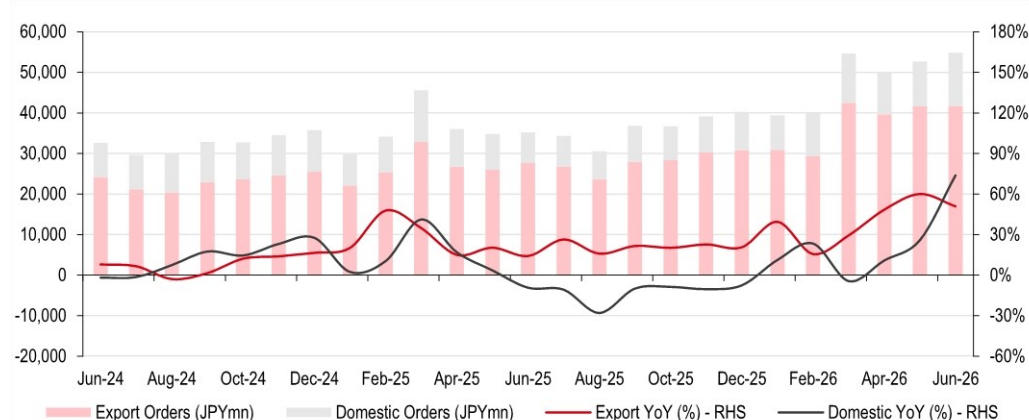
Exhibit 25: Japan's domestic machine tool order breakdown, by sector, monthly



Note: The sum of all components y-o-y will yield the overall domestic y-o-y as they are calculated to interpret the respective attribution effect to the overall domestic change. The larger the value in absolute terms, the more impact it has on the overall domestic y-o-y
Source: Japan Machine Tool Builders' Association (JMTBA), HSBC calculations

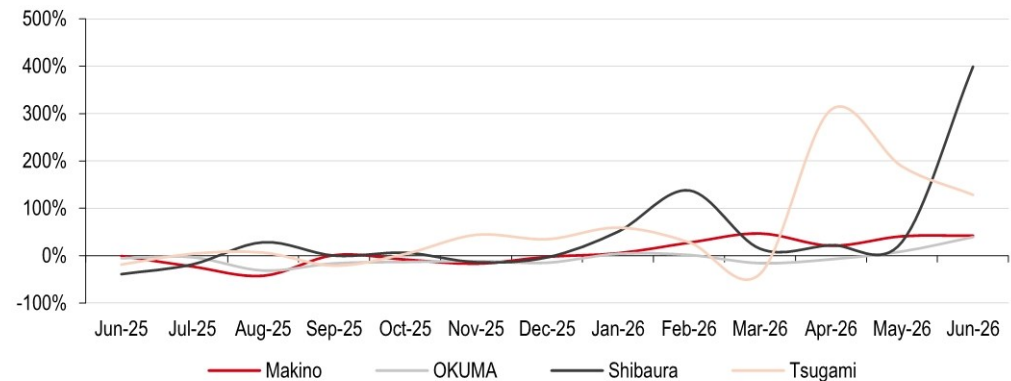
M-o-m order growth:
Total: +4%
Domestic: 19%
Exports: +0%

Exhibit 26: Top four Japanese machine tool manufacturers order values, monthly**



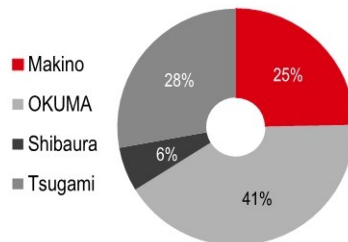
*Top four Japan CNC manufacturers are Makino, Okuma, Shibusawa and Tsugami; OKK (acquired by Nidec) and Nidec discontinued updates since Apr 2023; JTEKT discontinued updates since Jul 2023
Source: Nikkan

Exhibit 27: Top four Japanese machine tool manufacturers* domestic order value y-o-y changes



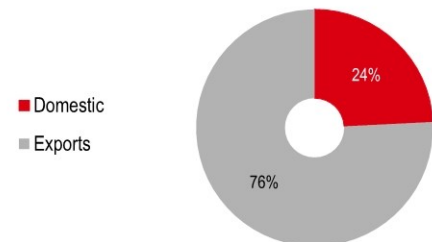
*Top four Japan CNC manufacturers are Makino, Okuma, Shibaura and Tsugami; OKK (acquired by Nidec) and Nidec discontinued updates since Apr 2023; JTEKT discontinued updates since Jul 2023.
 Source: Nikkan

Exhibit 28: Breakdown of total orders of Japan's top four machine tool manufacturers*, 2025



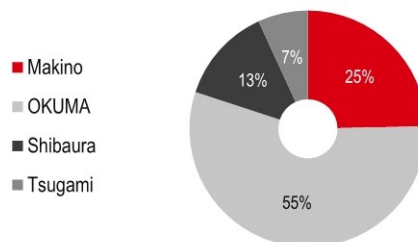
Note: *Top four Japan CNC manufacturers are Makino, Okuma, Shibaura and Tsugami.
 Source: Nikkan

Exhibit 29: Breakdown of Japan's top four machine tool manufacturers*, 2025



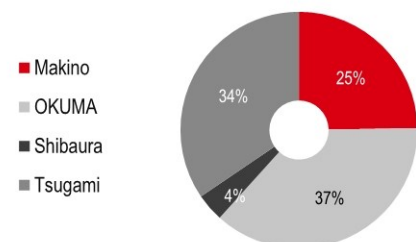
Note: *Top four Japan CNC manufacturers are Makino, Okuma, Shibaura and Tsugami.
 Source: Nikkan

Exhibit 30: Breakdown of Japan's top four machine tool manufacturers* domestic orders, 2025

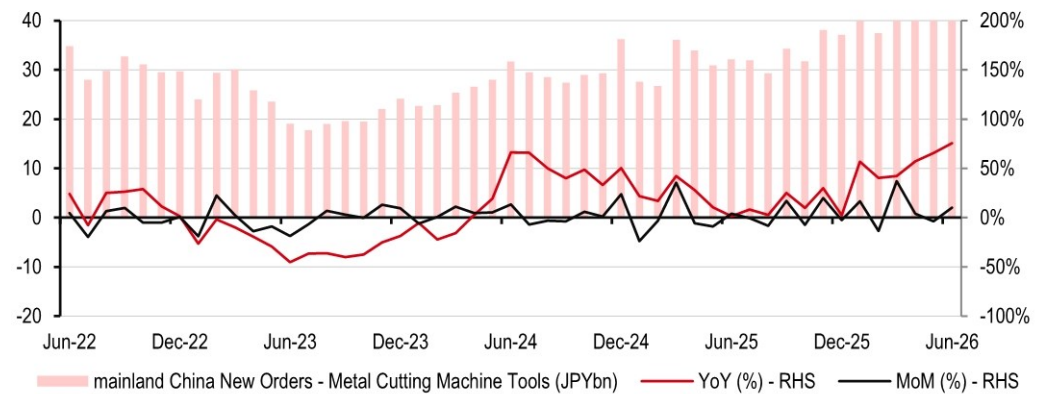


Note: *Top four Japan CNC manufacturers are Makino, Okuma, Shibaura and Tsugami.
 Source: Nikkan

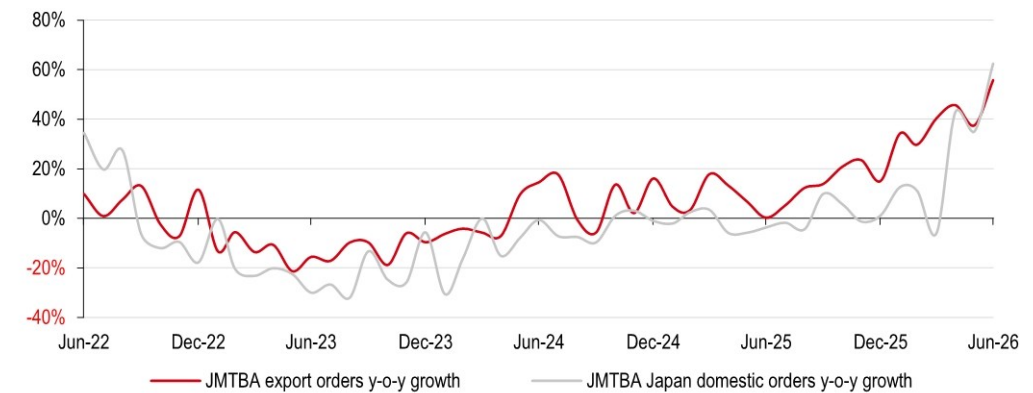
Exhibit 31: Breakdown of Japan's top four machine tool manufacturers* export orders, 2025



Note: *Top four Japan CNC manufacturers are Makino, Okuma, Shibaura and Tsugami.
 Source: Nikkan

Exhibit 32: Mainland China metal cutting machine tools imported from Japan, monthly


Source: Japan Machine Tool Builders' Association (JMTBA), HSBC calculations

Exhibit 33: Japan machine tool orders (domestic and exports) y-o-y growth


Source: Japan Machine Tool Builders' Association (JMTBA), HSBC calculations

Japan machine component production and shipments

The Japan Machine Accessory Association (JMAA) conducts research on equipment used in industrial machinery, such as metalworking machines, and publishes monthly production and shipment statistics for various components found in machine tools, including ball screws, linear motion guides, work-holding devices, tool holders and attachments.

We present the statistics for ball screws, linear motion guides, tool holders for numerical control (NC) machine tools and lathes.

Exhibit 34: Japan total machine component production & shipments, by volume, monthly

Production and shipment volume decreased significantly in November 2020 due to lower clutch and brakes volume

Production and shipments grew significantly y-o-y in November 2021 due to a low base in the previous year; November 2021 m-o-m production and shipments grew 12% and 8%, respectively

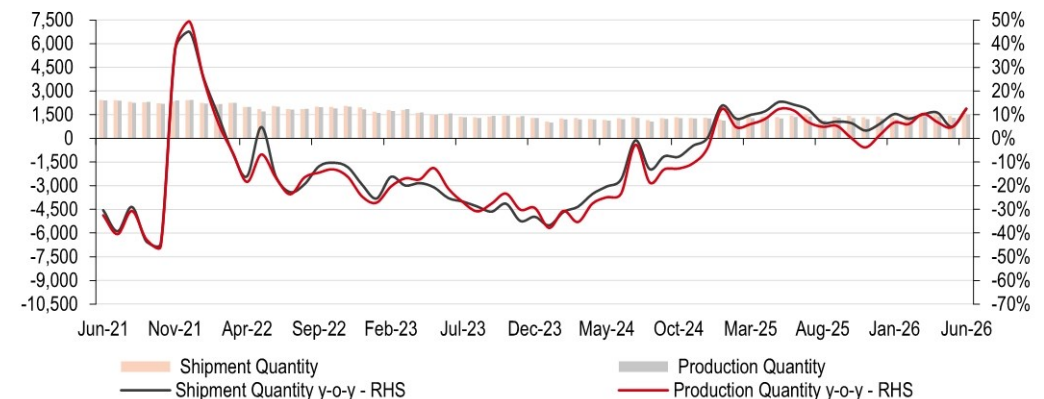


Exhibit 35: Japan's total machine component production & shipments, by value, monthly

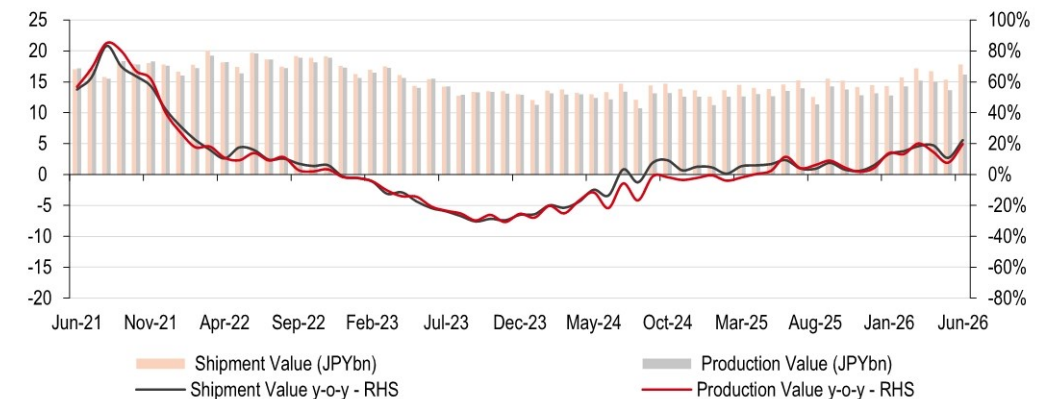
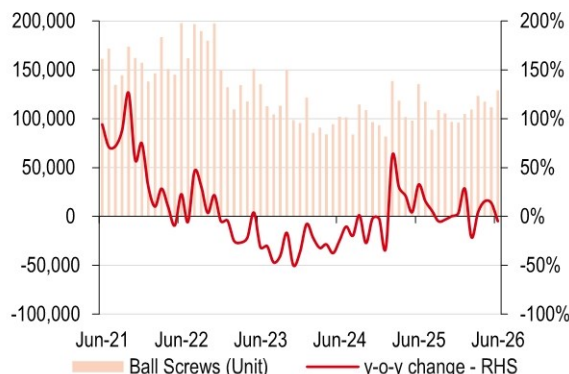
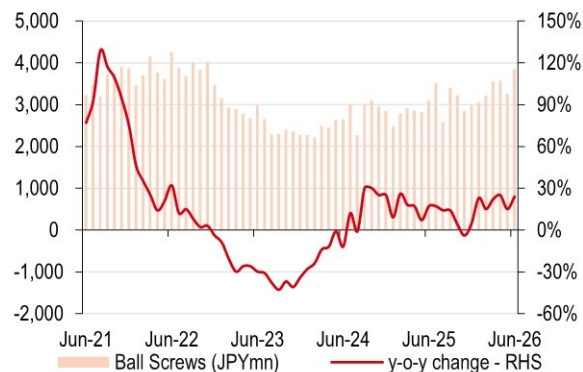
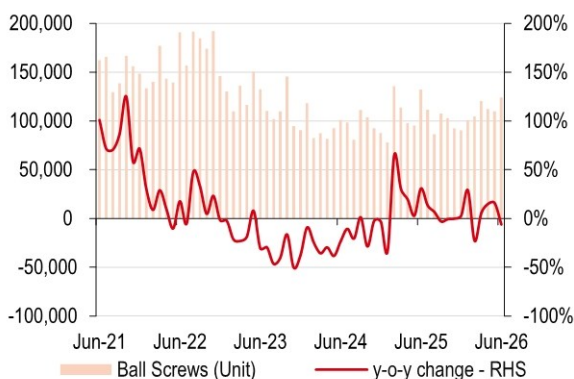


Exhibit 36: Japan's ball screw shipment, by volume


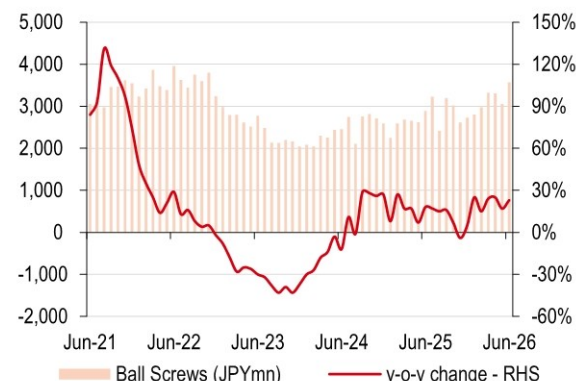
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 37: Japan ball screw shipment, by value


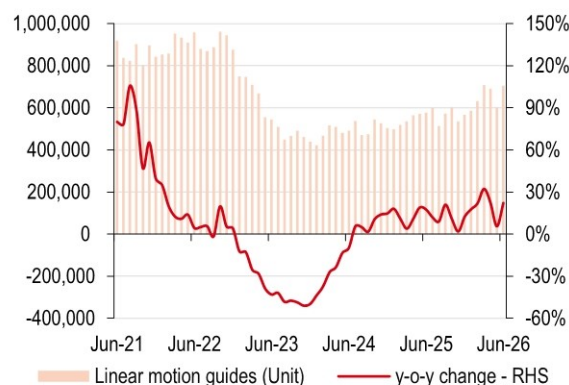
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 38: Japan's ball screw production, by volume


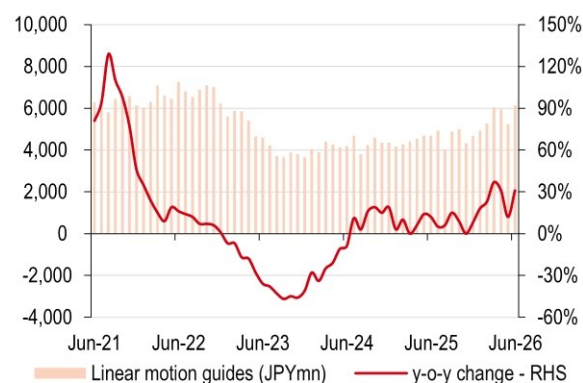
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 39: Japan's ball screw production, by value


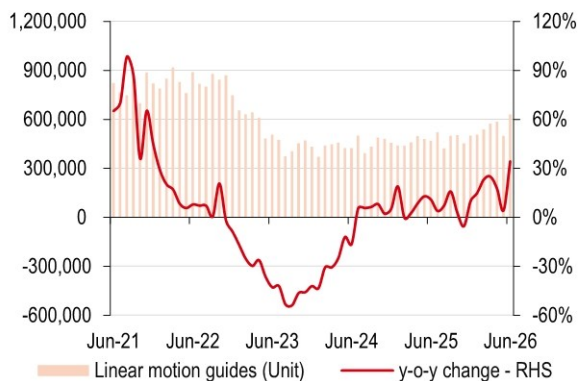
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 40: Japan's linear motion guide shipment, by volume


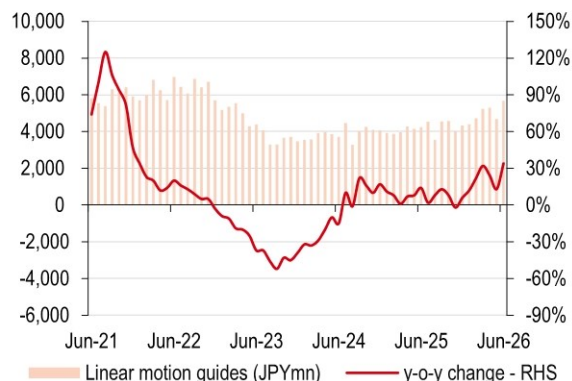
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 41: Japan's linear motion guide shipment, by value


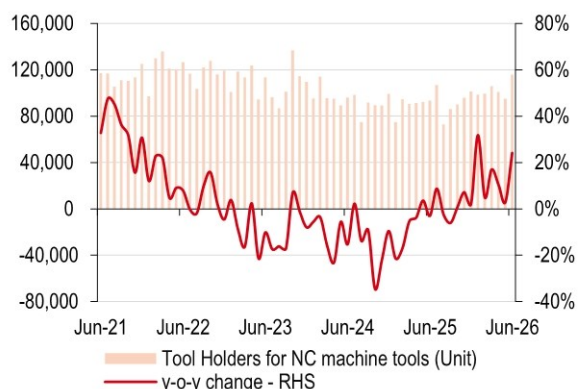
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 42: Japan's linear motion guide production, by volume


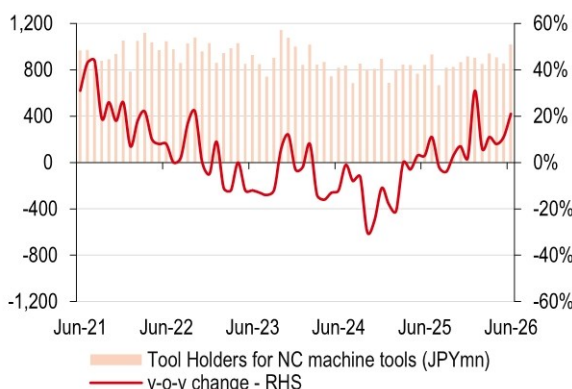
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 43: Japan's linear motion guide production, by value


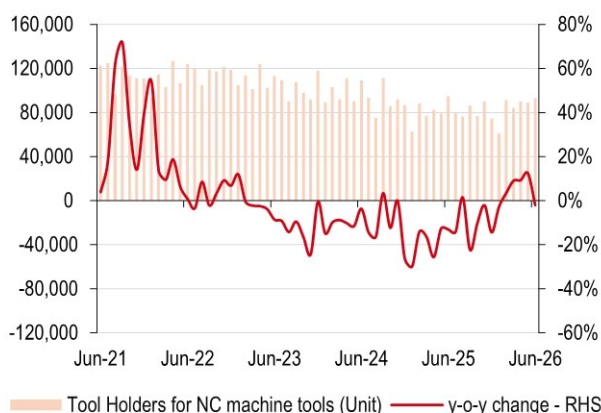
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 44: Japan's tool holders for NC machine tool shipments, by volume


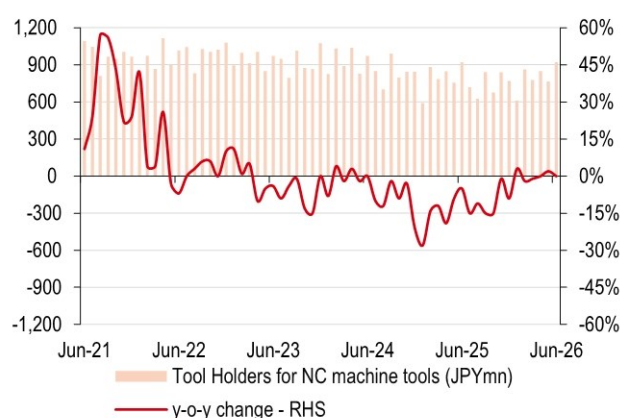
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 45: Japan's tool holders for NC machine tool shipments, by value


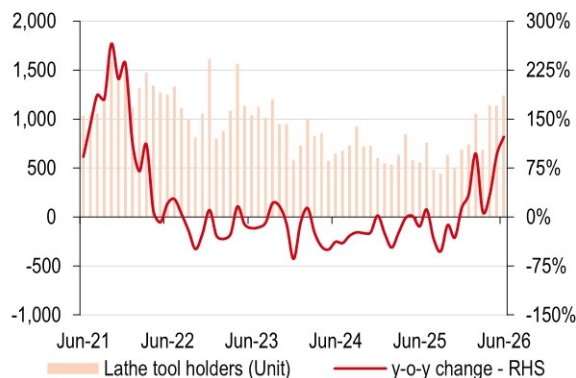
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 46: Japan's tool holders for NC machine tool production, by volume


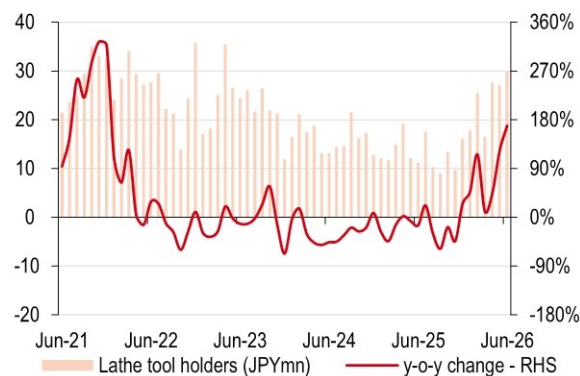
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 47: Japan's tool holders for NC machine tool production, by value


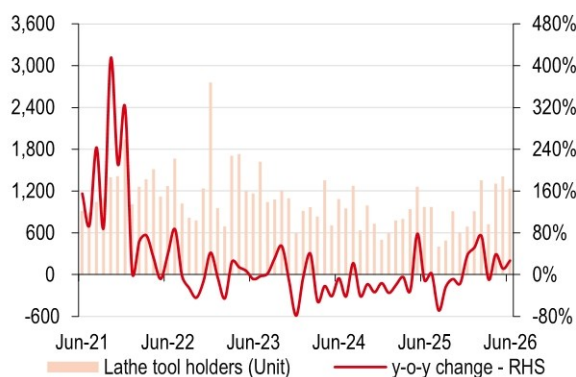
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 48: Japan's lathe tool holder shipments, by volume


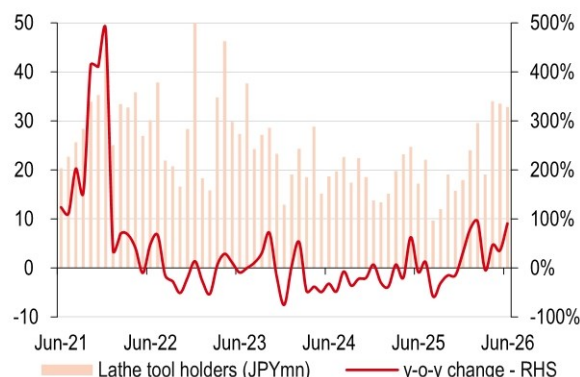
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 49: Japan's lathe tool holder shipments, by value


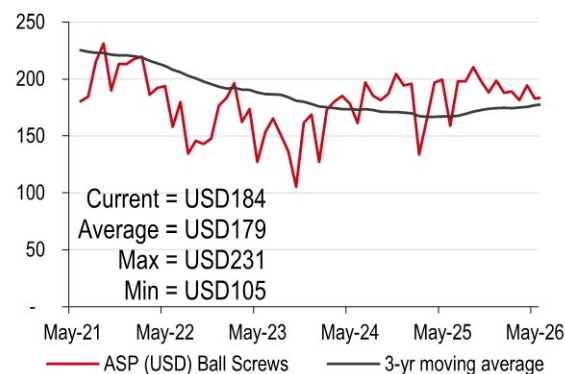
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 50: Japan's lathe tool holder production, by volume


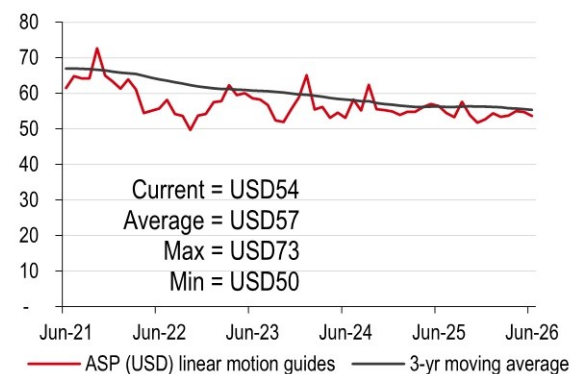
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 51: Japan's lathe tool holder production, by value


Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 52: ASP of ball screws


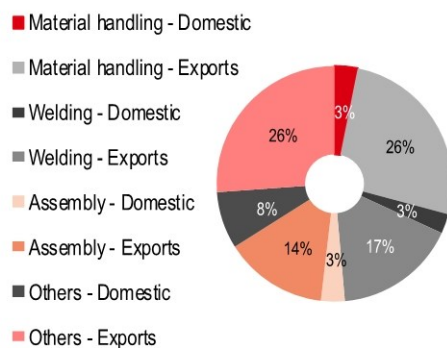
Source: Japan Machine Accessory Association (JMAA), HSBC calculations

Exhibit 53: ASP of linear motion guides


Source: Japan Machine Accessory Association (JMAA), HSBC calculations

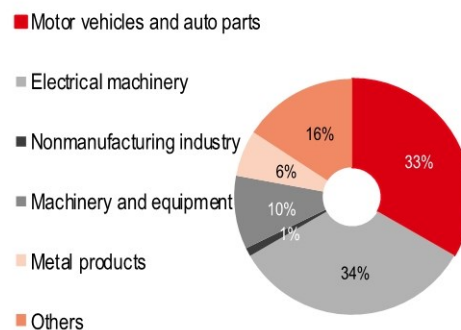
Robot indicators

Exhibit 54: Japanese robot shipment, by application, 2021



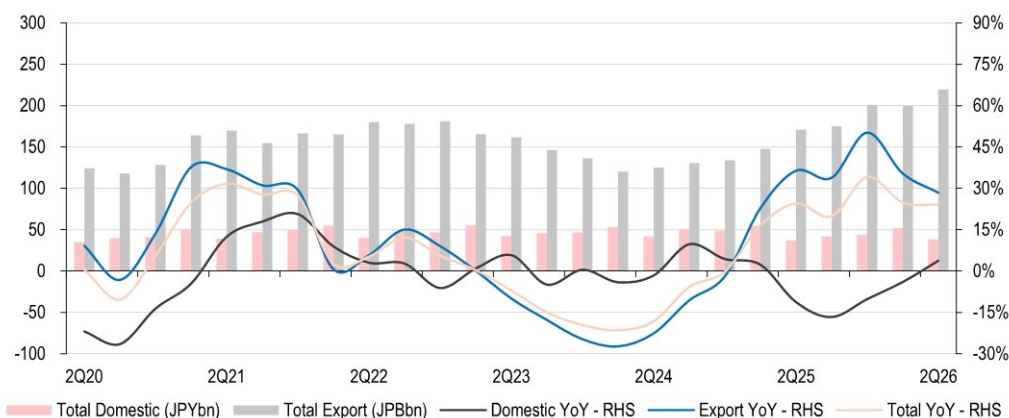
Note: Others include clean room, surface mount technology, machining, plastic moulding, painting, palletizing/depalletizing and other applications.
Source: Japan Robot Association (JARA), HSBC calculations

Exhibit 55: Japanese robot shipment, by industry, 2021



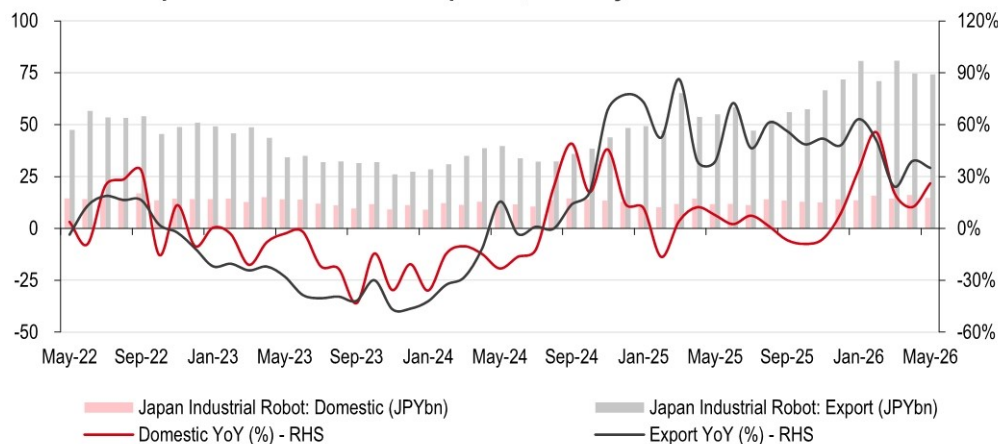
Note: Others include chemical products, F&B products, precision instruments, plastic products, other transport equipment and other industries.
Source: Japan Robot Association (JARA), HSBC calculations

Exhibit 56: Japan's industrial robot shipment, quarterly

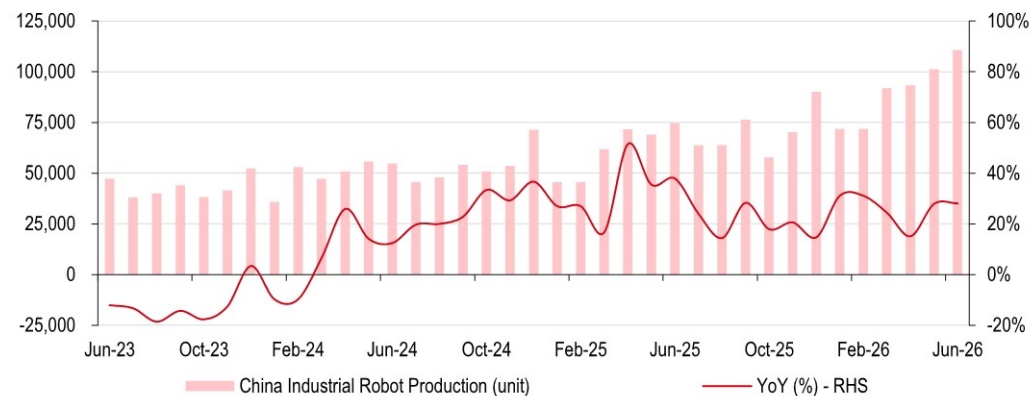


Note: Data include welding, machining, and cleanroom robots. Source : Japan Robot Association (JARA)

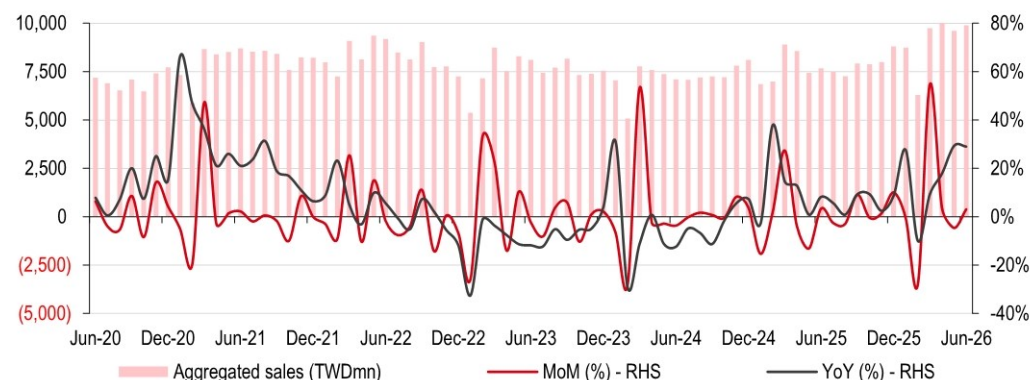
Exhibit 57: Japan's industrial robot shipment, monthly



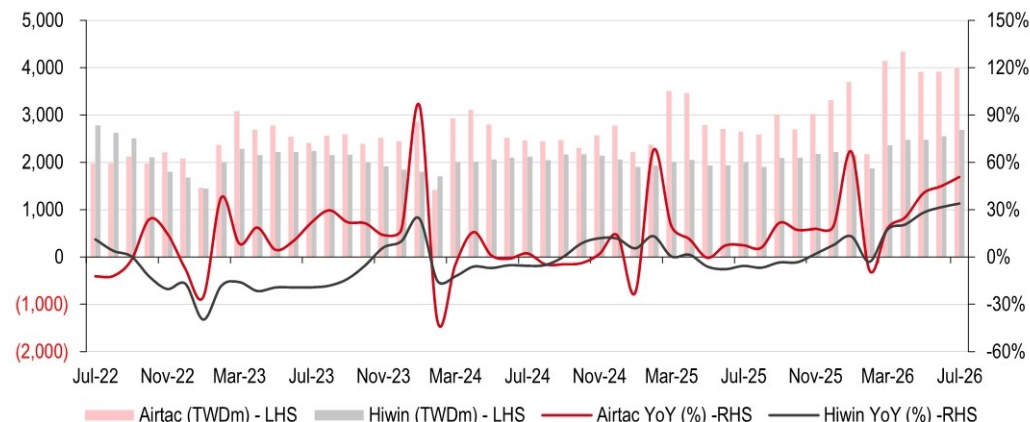
Source: Economic and Social Research Institute, HSBC calculations

Exhibit 58: Mainland China's industrial robot production, monthly


Note: Data has been averaged for January and February in each year; restated according to the most recently reported y-o-y changes
Source: National Bureau of Statistics, HSBC calculations

Exhibit 59: Taiwan's automation aggregated sales, monthly


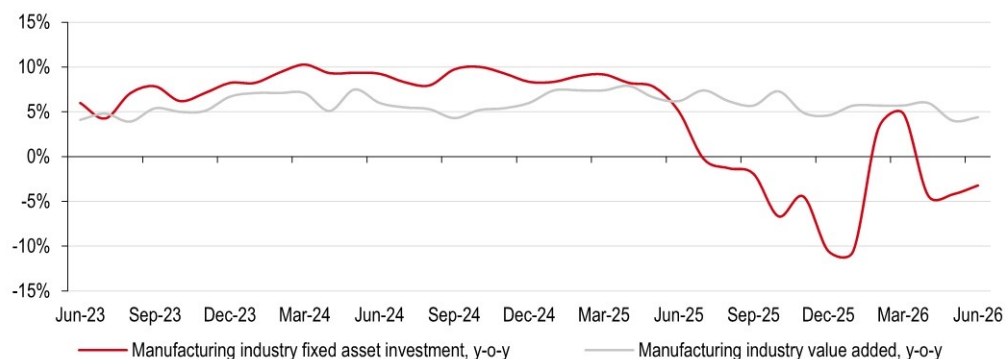
Note: The data are the aggregated sales of the following listed companies: Airtac (1590 TT), Hiwin (2049 TT), Auretek (6215 TT), Chieftek (1597 TT), Quanta Storage (6188 TT), Chelic (4555 TT), Solomon Technology (2359 TT), Awea Mechantronic (1530 TT), Goodway (1583 TT), Tong-Tai (4526 TT) and Ace Pillar (8374 TT).
Source: Taiwan Economic Journal (TEJ), HSBC

Exhibit 60: Hiwin and Airtac's automation aggregated sales, monthly


Source: Taiwan Economic Journal (TEJ), HSBC calculations

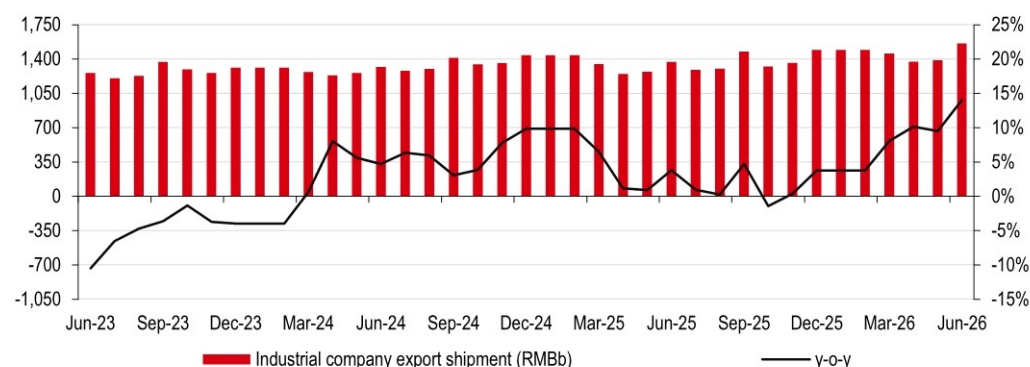
Mainland China manufacturing indicators

Exhibit 61: Mainland China manufacturing industry fixed asset investment and value added



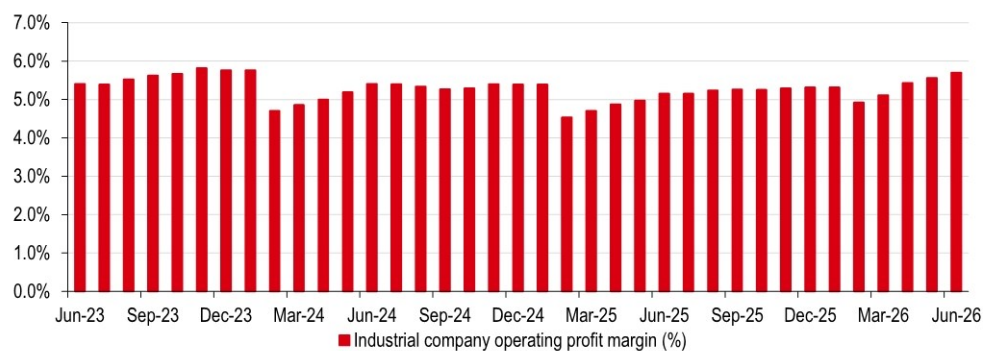
Source: Wind, HSBC calculations

Exhibit 62: Mainland China industrial company export shipments

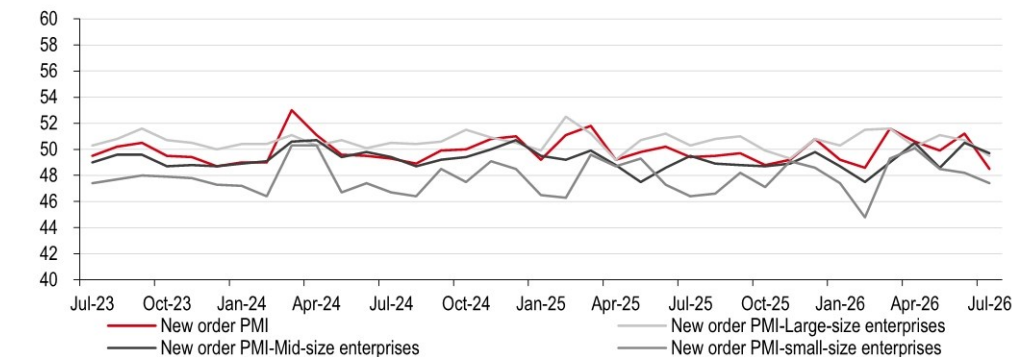
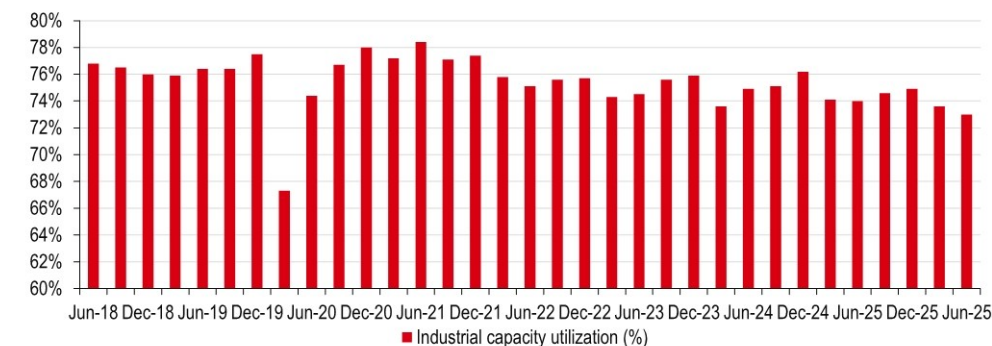


Source: Wind, HSBC calculations

Exhibit 63: Mainland China industrial company operating profit margin, cumulative



Source: Wind, HSBC calculations

Exhibit 64: Mainland China new orders PMI

Exhibit 65: Mainland China industrial capacity utilisation, quarterly


Export demand indicators

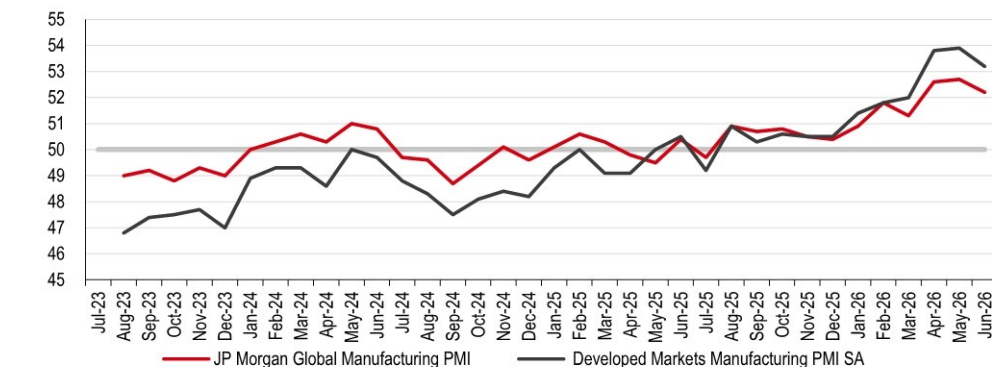
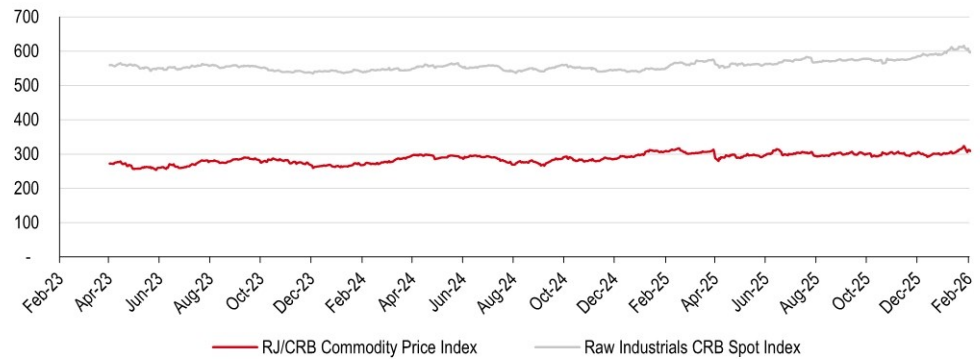
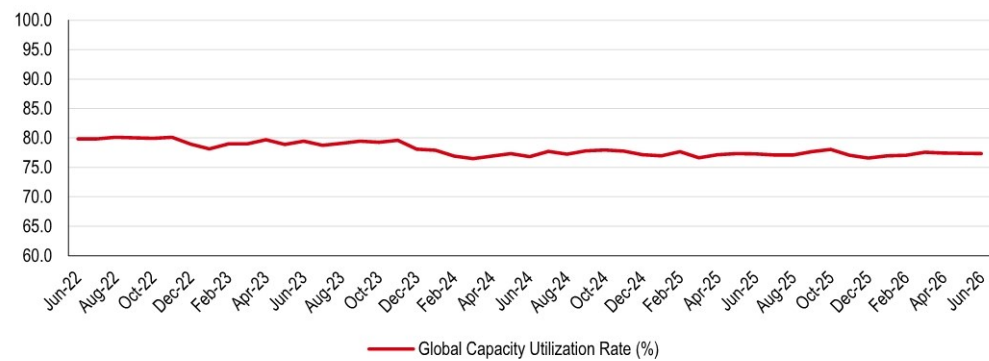
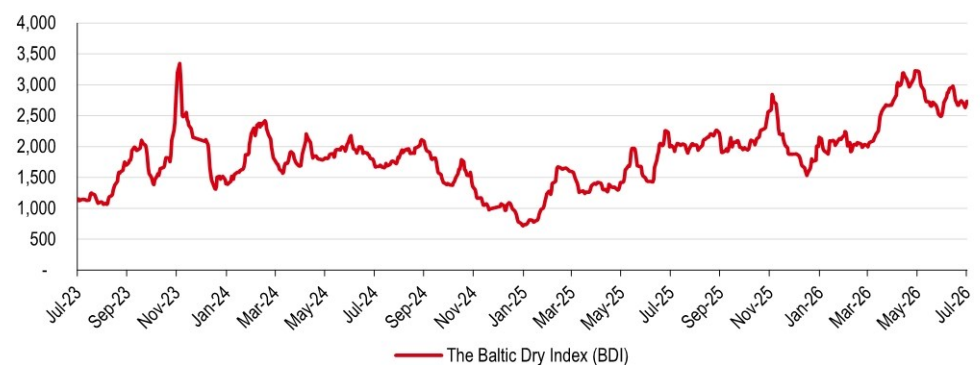
Exhibit 66: Global/developed market manufacturing PMIs


Exhibit 67: Commodity price indices


Source: Wind, HSBC

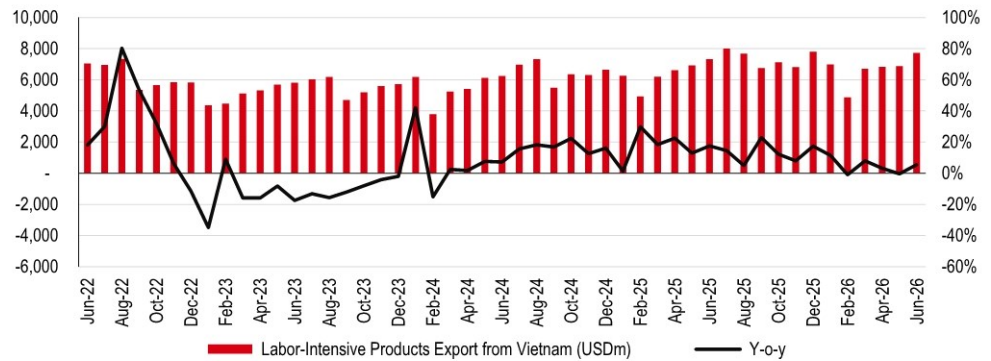
Exhibit 68: Global industrial/capacity utilisation rate


Source: Bloomberg, HSBC calculations

Exhibit 69: The Baltic Dry Index (BDI)


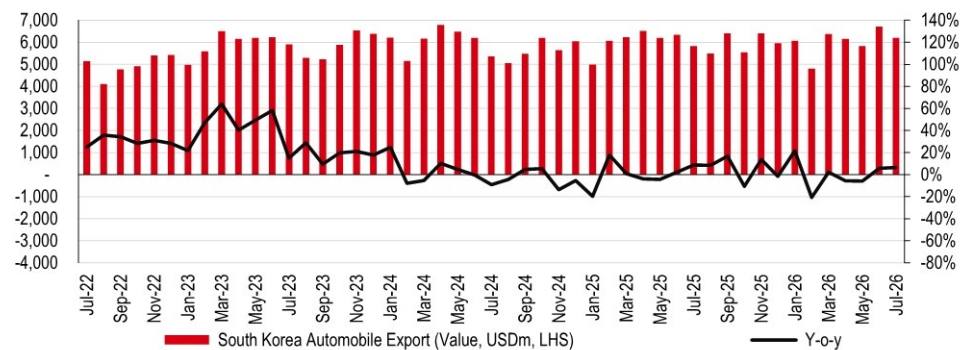
Source: Wind, HSBC

Exhibit 70: Labour-intensive product exports from Vietnam



Source: Wind, HSBC

Exhibit 71: South Korea auto exports



Source: Wind, HSBC

Share prices have historically led the shipment cycle

Stock prices have historically been 3-6 months ahead of fundamentals for the past five years

Exhibit 72: Share prices of Japanese automation makers (JPY) and Japan's machine tool exports (JPYm)



Source: Japan Machine Tool Builders' Association (JMTBA), Bloomberg. Trading prices rebased to Fanuc as of Jan 2011

Exhibit 73: Share price of Japanese automation makers (JPY) and Japan's robot shipments (JPYm)

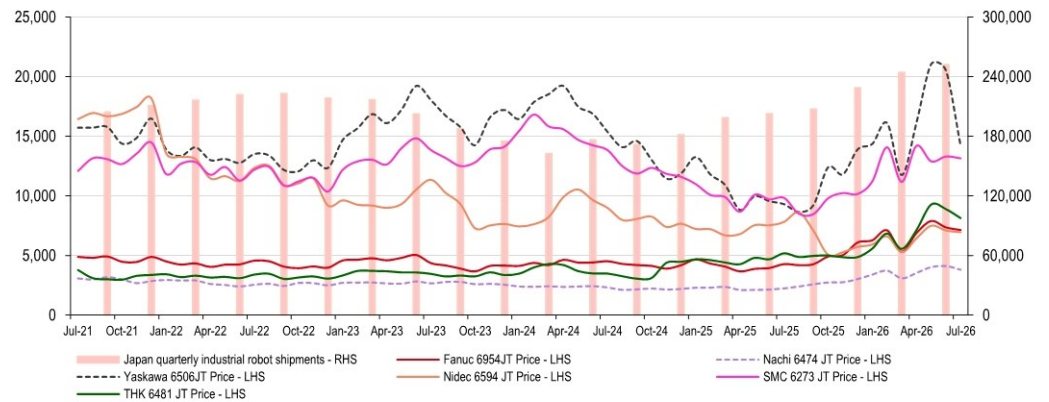


Exhibit 74: Share prices of Japanese reducer makers (JPY) and Japan's machine tool exports (JPYm)

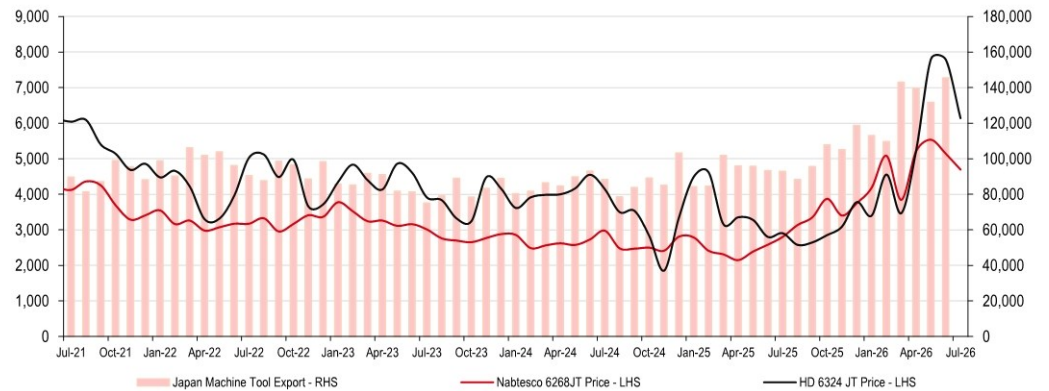
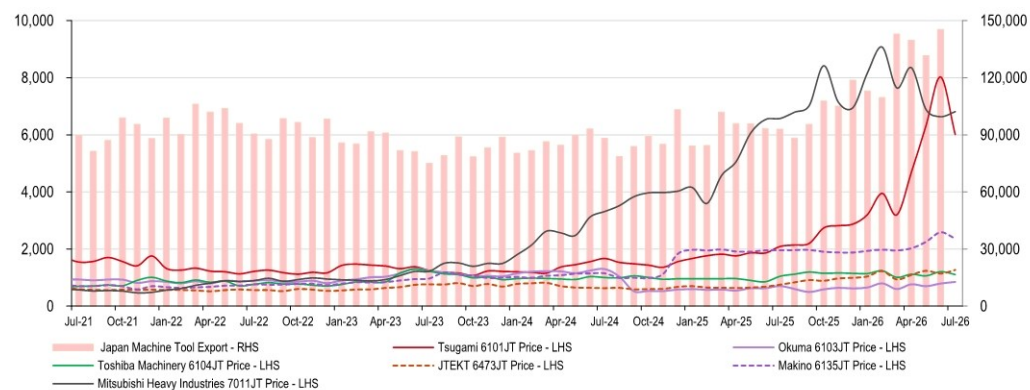
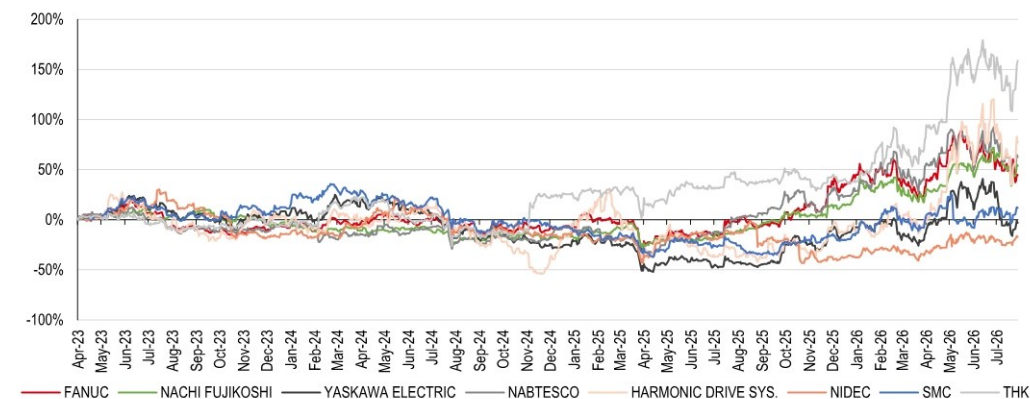


Exhibit 75: Share prices of Japanese reducer makers (JPY) and Japan's industrial robot shipments (JPYm)

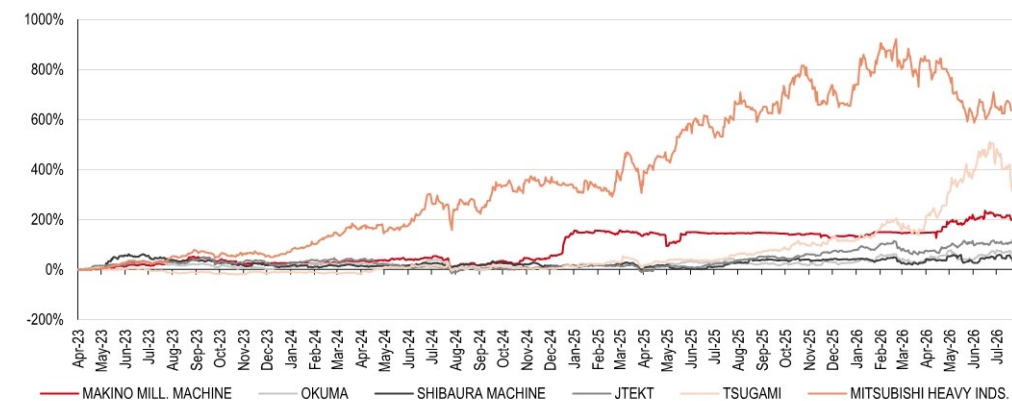


Exhibit 76: Share prices of Japanese machine tool maker (JPY) and Japan's machine tool exports (JPYm)


Note: Trading prices rebased to Tsugami (6101 JT, not rated) as of January 2011
 Source: Japan Machine Tool Builders' Association (JMTBA), Japan Robot Association (JARA), Bloomberg

Exhibit 77: Japan automation companies' share price performance


Source: Bloomberg, HSBC

Exhibit 78: Japan machine tool companies' share price performance


Source: Bloomberg, HSBC

Valuation and risks

Valuation		Risks
Airtac 1590 TT Buy	Current price: TWD1,545 Target price: TWD1,730 Up/downside: +12%	We value Airtac using a target PE of 25x against 2027e EPS, calculated using 1SD below Airtac's forward PE average over 2021, given we believe the market is pricing in a through-the-cycle 2025-2028e CAGR of 24%, which is lower than 2021's EPS growth of 33% y-o-y. Applying our target PE to 2027e EPS of TWD69.00 (unchanged), we derive a rounded TP of TWD1,730 (unchanged), implying c12% upside. We retain our Buy rating as we believe the next round of re-rating should begin when consistent monthly sales and linear guide growth are delivered. Downside risks: 1) Weaker-than-expected demand recovery in mainland China; 2) slower-than-expected linear guide sales expansion; 3) potential price competition from major rivals dampening margins; 4) higher raw material prices or lower capacity utilisation, resulting in lower margins; 5) higher-than-expected GPM pressure due to volume discount; 6) OPM headwind from weaker-than-expected operating leverage and 7) strengthening of TWD against RMB creating negative impact on revenue and margins; 8) delay in major electronic brand's form factor change model launch, causing weaker electronics demand; 9) delay in semi SKU launch, resulting in slower revenue growth.
	Helen Fang* helen.c.fang@hsbc.com.hk +852 2996 6942	
Hiwin 2049 TT Buy	Current price: TWD387 Target price: TWD457 Up/downside: +18%	We continue to value the stock using 41x target forward PE (forward PE average over the past three years after factoring in our latest earnings estimates), given we believe the current upcycle could drive the stock to re-rate back to its historical average. Applying this target multiple to our 2027 EPS estimate of TWD11.15 (unchanged), our target price stands at TWD457 (unchanged). We maintain our Buy rating as we expect broad demand recovery, with margin upside from 2Q and an undemanding valuation. Downside risks: A slowdown in AI capex; double ordering causing artificially high order backlog; market share loss to new entrants; ASP pressure due to increasing competition; strengthening of TWD hurting margins; and weaker-than-expected operating leverage.
	Helen Fang* helen.c.fang@hsbc.com.hk +852 2996 6942	
Fanuc 6954 JP Buy	Current price: JPY6,535 Target price: JPY7,600 Up/downside: +16%	We value Fanuc using a target multiple of 29x ex-cash forward P/E (the average during the previous upcycle over FY03/21 FY03/23). Applying our target P/E to FY03/28e EPS of JPY237 (unchanged) and adding back net cash, we derive a target price of JPY7,600 (rounded, unchanged). Our TP implies c16% upside. We retain our Buy rating, as we believe underlying demand is intact, and the recent share price correction leads to attractive risk/reward in our view. Catalysts include easing of raw material supply and upward revision to guidance. Downside risks: 1) More severe raw material supply shortage in chips or rare earth materials slowing down shipment or pressuring margins stronger-than-expected; 2) a slowdown in FA or Robomachine demand due to slowdown in AI capex; 3) a stronger-than-expected JPY hurting revenue growth and margins; 4) increasing competition in Robomachine.
	Helen Fang* helen.c.fang@hsbc.com.hk +852 2996 6942	
Keyence 6861 JP Buy	Current price: JPY85,110 Target price: JPY91,000 Up/downside: +7%	We value Keyence using ex-cash forward PE of 33.3x (unchanged), calculated using the average from April 2022 to March 2026, when EPS grew at a 10% CAGR, lower than HSBC FY03/26-29e CAGR of 17%, but a prudent benchmark. Applying our target multiple to FY03/28e EPS of JPY2,545 (unchanged) and adding back net cash leads to a TP of JPY91k (unchanged). With c7% implied upside, we maintain our Buy rating as we think AI server, electronics will continue to drive the current upcycle, auto has bottomed and margin tailwinds could be sustained with a weak JPY and strong pricing power. Downside risks: Slower-than-expected Europe/Japan recovery; slowdown in server/robotics demand; weaker-than-expected demand or margin headwinds due to trade uncertainties; margin pressure due to further rise in component costs; higher-than-expected SG&A expenses amid weaker demand environment; higher-than-expected FX loss due to strengthening of the JPY.
	Helen Fang* helen.c.fang@hsbc.com.hk +852 2996 6942	

Valuation		Risks
Inovance 300124 CH Buy	Current price: RMB64.60 Target price: RMB96.00 Up/downside: +49%	We base our target price of RMB96.00 (unchanged) on a DCF model. We use a WACC of 8.4% (unchanged). We assume an operating cash flow (before changes in working capital) CAGR of 11% in 2025-37 (unchanged), and capex of cRMB1.0bn per annum in 2026-28 (unchanged). We also expect stable capex of RMB1,002-1,096m per annum in 2028-37 (unchanged) and use a terminal growth rate of 2.5% (unchanged). Our DCF-based target price of RMB96.00 implies c49% upside from current levels; accordingly, we maintain our Buy rating on the stock. Downside risks: 1) Weaker-than-expected automation, elevator and NEVe demand in China. 2) Intense competition could hurt margins. 3) Risk of equity dilution from potential fundraising activities.
	Corey Chan* (S1700518100001) corey.chan@hsbcqh.com.cn +86 21 5066 2001	
Zhaowei 003021 CH 2692 HK A: Hold H: Buy	Current price: A: RMB81.15 H: HKD47.42 Target price: A: RMB90 H: HKD105 Up/downside: A: +11% H: +121%	We base our A-share target price of RMB90.00 (unchanged) on a DCF model. We use a WACC of 10.1% (unchanged). We expect operating cash flow (before changes in working capital) to grow at a 19% CAGR in 2025-2037 (unchanged). We expect capex of RMB150m, RMB100m and RMB100m per annum in 2026, 2027 and 2028, respectively (unchanged). Thereafter, we assume a steady capex of around RMB10-13m per annum in 2029-37 (unchanged). Terminal growth rate of 2.5% (unchanged). We arrive at an H-share target price of HKD105.00 by applying an end-2026 RMB-HKD FX rate of 1.17. Our A-share target price implies c11% upside and we maintain our Hold rating on concerns over auto component demand in 2026. Our H-share TP implies c121% upside, therefore we maintain our Buy rating. Key upside risks for A share: 1. Stronger-than-expected demand for dexterous hand; 2. Faster-than-expected intelligent automotive upgrade trend; 3. Stronger-than-expected order growth in consumer and healthcare; 4. Making in-roads in overseas markets. Key downside risks for A/H share: 1. Slower-than-expected application of dexterous hand; 2. Weaker-than-expected intelligent automotive demand; 3. Market share loss in consumer & healthcare markets; 4. Weaker-than-expected margins on keen competition.
	Corey Chan* (S1700518100001) corey.chan@hsbcqh.com.cn +86 21 5066 2001	

Priced at close of 7 Aug 2026
 Source: HSBC estimates

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/ qualified pursuant to FINRA regulations

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Helen Fang, Corey Chan, Kenneth Chin, CFA and Dun Wang, CFA, CPA

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

HSBC assigns ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Rating distribution for long-term investment opportunities

As of 30 June 2026, the distribution of all independent ratings published by HSBC is as follows:

Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

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All other clients: www.research.hsbc.com/A/Disclosures

HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
AIRTAC	1590.TW	1570.00	10 Aug 2026	7
FANUC	6954.T	6507.00	10 Aug 2026	4, 12
HIWIN	2049.TW	387.00	10 Aug 2026	7
KEYENCE CORP	6861.T	85000.00	10 Aug 2026	–
SHENZHEN INOVANCE	300124.SZ	64.34	10 Aug 2026	7
ZHAOWEI MACHINERY	2692.HK	46.00	10 Aug 2026	4
ZHAOWEI MACHINERY A	003021.SZ	79.55	10 Aug 2026	4

Source: HSBC

- 1 HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
- 2 HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
- 3 At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.
- 4 As of 31 July 2026, HSBC beneficially owned 1% or more of a class of common equity securities of this company.
- 5 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.
- 6 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.
- 7 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.
- 8 A covering analyst/s has received compensation from this company in the past 12 months.
- 9 A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.
- 10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
- 11 At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.
- 12 As of 05 August 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
- 13 As of 05 August 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
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